

“Unlike many of today’s tech companies,” Alejandro writes, “EA focused on its bottom line. One of the early examples of EA’s ability to protect margins was to avoid existing distribution partners. Instead they opted to deal directly with retailers, which gave them better margins.”

EA experimented with different forms of packaging. For example, EA used album style packaging for games in the early 1980s such as *M.U.L.E.* and *Pinball Construction Set*. “This type of packaging was pioneered by EA because the record album style could save costs,” as Alejandro points out.

EA also focused on making games for all consoles, so it skipped out on the costly and competitive console-hardware segment. EA’s executives still credit this strategy as a foundation of their business success today.

Whatever you choose to emphasize, EA pushed the right buttons. In 1990, sales were just \$96 million. By 2004, sales were \$3.1 billion. That’s a 32-fold increase. The multiple the market put on those sales also exploded — from 2.7 in 1990 to 13 by 2004.

Earnings also popped. Earnings totaled \$8 million in 1990. By 2004, they were \$586 million. That’s a 73-fold increase. And the price-earnings ratio went from about 12 to 32.

For those kinds of numbers, EA needed more than smart packaging and games for all consoles. It needed to create games people wanted.

“EA’s founders chose this name, so the story goes, because they wanted to promote their games as a kind of art,” Alejandro writes. “Art in an almost Hollywood type sense as some believe the name was actually inspired by the legendary United Artists studio.”

EA treated its game developers like rock stars. EA gave its developers personal credit for the creation of a game. This “was allegedly done through not just financial incentives but also PR type activities that celebrated them along with their work,” Alejandro says. He continues: “The album covers for the games in 1980’s also reinforce the idea that these games and their creators were something more than geeks who had the capacity to make playful images on a screen. All of this focus on quality lead to some very successful games.”

This is especially true in sports, where EA’s franchise is basically unrivaled. I grew up in the 1980s, and I can still recall their tagline “EA Sports. If it’s in the game, it’s in the game!” and how we spent hours